LEGAL CASE STUDIES

- In a case between **Irish Woollens Co. Ltd. Vs. Tyson** and others, it was held that auditor was negligent for not verifying the liabilities. He was liable to pay damages for the loss suffered by the client.
- In another case, **Arthur E. Green & Co. Vs. General Advance and Discount Corporation**, it was held that the auditor was liable for accepting the schedule of debtors without verifying thereof.

7.3 Cash Paid To Creditors

While vouching cash payment to creditors, the auditor should examine the system of Internal control in existence. He should check the entries in the cash book with the receipts issued by creditors or counterfoils of cheque book and bank statement. He should compare the ledger balances of creditors with statement of accounts sent by them. Further, the auditor should ensure that all payments made to creditors are properly authorized by a responsible official. When payment was made as full and final settlement, auditor should verify whether the company has been availed any discount and is accounted as discount received.

Documents to be Vouched: Receipts issued by creditors, Invoices, Statement of accounts of creditors, Bank statement.

Example

On 12.3.17, Paid cash to Rakesh Rs.22,000 being supplier of goods.

Vouching of Cash paid to Creditors.

Auditor should vouch the transaction in the following manner:

1. Verify entry in Cash Book with respect to date, name of creditor or supplier and amount paid.
2. Verify entry in Creditor or Supplier Account with reference to date and amount.

Cash Book

Dr. **Cr.**

Date	Particulars	L.F.	Amount ₹	Date	Particulars	L.F.	Amount ₹
				2017 Mar 12	By Rakesh a/c		22,000

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